MALITINNE

MANAGE FINANCES OF A NEW VENTURE

LEARNER WORKBOOK

NQF LEVEL 4

SAQA ID: 263474

LEARNER NAME : _____

ID NUMBER : _____

Assignment 1 - Knowledge Questionnaire

MANAGE FINANCES OF A NEW VENTURE US 263474

Question 1
Define the concepts of start-up capital and working capital

US 263474/SO1/AC1

Question 2
Explain the relationship between cash flow and profit in the business

US 263474/SO1/AC2

Question 3
Explain the difference between short-term finance and long-term finance

US 263474/SO1/AC3

Question 4
Explain the difference between fixed and working capital

US 263474/SO1/AC4

Question 5
Discuss the importance of cash flow management in the business

US 263474/SO2/AC1

Question 6
Describe how the cash flow forecast can be used as a budgeting tool

Question 7
Compile a simple cash flow forecast for your new venture

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Question 8
How can the cash flow forecast be used to determine the working capital for the business

US 263474/SO2/AC4

Question 9
Explain the importance of interpreting the bank statements of the business

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Question 10
Explain how you will apply the accounting system to your new venture

US 263474/SO3/AC1

Question 11
Explain how you will establish the accounting system for the new venture

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Question 12
Describe how you will monitor the accounting system

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Question 13
How can you make sure that taxation requirements are catered for in your accounting system

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Question 14
Explain the purpose of the Income and Expenditure Statement

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Question 15
List two sources of the income and expenditure statements

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Question 16
Explain the importance of evaluating the income and expenditure statement in terms of the viability of the new venture

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Question 17
Draw up a simple Income and Expenditure Statement for your new venture

US263474/SO4/AC4

Question 18
Explain the purpose of the balance sheet and how often is it compiled

US263474/SO/AC1

Question 19
Define liabilities and give two examples of current liabilities and long-term liabilities

US263474/SO5/AC2

Question 20
Distinguish between Assets and Liabilities in the new venture and provide examples

US263474/SO5/AC3

Question 21
How can you use the balance sheet to determine the financial net worth of the venture

US263474/SO5/AC4

Question 22
Draw up a simple balance sheet for your new venture

US263474/SO5/AC5

Question 23
Provide a recommendation on how to improve a financial ratio

US263474/SO6/AC1

Question 24
Explain how you would analyse the strengths and weaknesses of the new venture to increase income and reduce cost

US263474/SO6/AC2

Learner signature: _____ Date: _____

Assessor signature: _____ Date: _____

Moderator signature: _____ Date: _____